



## WHO ALL ARE DEPENDENT ON US FOR THEIR MEDICAL EXPENSES?

The first question that we will answer to evaluate our requirement for health insurance needs is to determine who and how many people are dependent on us for their medical expenses. These are people that we will have to pay for, in case they fall ill and have medical expenses. These can be our spouse, parents, children, uncle, aunty, grandparents, friends, etc.

So, when we talk about health insurance and its need, we will discuss it keeping these people in mind. These are the same set of people that we will look to get insured as we go ahead. If we have too many dependents, we definitely will need an insurance plan in place. The reason being an increased probability of people falling ill.



## DO WE NEED A HEALTH INSURANCE ?

We have already created a list of risks that are infrequent but have significant consequences. Health risks are a common phenomenon and apply to almost anyone doing this exercise. However, not everyone needs Health Insurance. So, to decide if we need health insurance or not, we will check if we have spare assets, which are not tied to any financial goal so that we are ready to let go of them in case, any health-related financial need arises.

If yes, we can decide to not have medical insurance. However, another catch is that the asset should be liquid. Only then our asset qualifies to meet health-related financial needs. However, we would still advocate that every person should have health insurance. The reason being, health emergencies often come unannounced and bring with them a lot of emotional pain. You do not want to add to that with financial pain. Also, it has been observed that insured patients opt for better treatment than uninsured patients. It is not as infrequent as other risks.